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Economic and Market Outlook: Partly Sunny and Partly Cloudy!

By

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Economic and Market Outlook: Partly Sunny and Partly Cloudy!

Brexit, China and other issues have had surprising and significant effects on the US and global markets this year. Perhaps the greatest market and global economic event will take place in this third quarter with a US election representing polarizing ideologies. Accordingly, this

autumn season has been dominated with potentially opposite visions of the future for US economic and market direction.

US securities markets as well as many major global markets have been somewhat preoccupied with trying to anticipate who will be the new President

and what his/her administration's impact will be on markets and economic decisions and position themselves accordingly.

The US economy, and the public perception thereof, always looms large as a decision factor as people

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By

Vincent

Russo

and

Sarah Potter

Fixed Income

The following chart

shows interest rate movements over the quarter. Interest rates move up slightly with shorter maturities ris-

ing a bit more than longer ones. Bond performance favored corporate bonds of longer maturities.

Maturity	US Treasury Curve 09/30/16	US Treasury Curve 06/30/16	(Change) 09/30/16-06/30/16
2Y	0.762	0.582	0.18
3Y	0.875	0.693	0.182
5Y	1.149	1	0.15
7Y	1.422	1.279	0.143
10Y	1.594	1.47	0.125

The best performing sectors of the Barclay's U.S. Aggregate index (broadest of the Barclay's indices) were

were **U.S. Treasury: Long** with a return of -0.36%, followed by **U.S. Treasury: 20+ Year** with -0.30%. Within the investment grade sector, the lower end of investment grade outperformed. Baa rated bonds returned 1.94%, compared

to Aaa rated bonds only returning 0.10%. Our benchmark index, the Intermediate U.S. Government/Credit, returned 0.16%. High yield bonds continued to show strong performance. The Barclay's U.S. Corporate High Yield index returned 5.55% in the third quarter. The continued outperformance of longer duration bonds, particularly in the corporate sectors leads us to believe that the market is not terribly concerned about inflation or rapidly rising interest rates. However, what is somewhat surprising is the outperformance of lower quality credit, especially in light of recent developments within Europe's banking system. Perhaps it is too early for markets to be concerned with the Deutsche Bank develop-

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"The world is likely to keep its guard up while the next couple of years of Brexit negotiations take place and the impacts on nearby governments and economies are sorted out—after all, the true test comes when the theoretical exit becomes a reality"

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ments or the solvency issues surrounding the Italian banking sector, but those concerns will not go away without government intervention or central bank support. While the possibility of another financial market shock cannot be fully dismissed, it is an unlikely event. If the capital markets have learned one major lesson since the Lehman Brothers failure in 2008, it is that systemic risk (domino effect of bank failures) is real. The solution is politically charged and would be highly unpopular. Bank bailouts are not fair, but the alternatives are far worse.

Lower for longer

In our effort to inform clients about what market events have affected their portfolios, we spend a great deal of time on those events that impact economic conditions. We focus on elements of our economy that historically have affected growth and inflation, and consequently, interest rates. Because we understand that what happens in our economy is also being affected by events globally, we have also expanded our thinking and focus on global events. So, it is not surprising that we cover many of the same topics quarter over quarter.

As we mentioned above this past quarter saw interest rates increase slightly across the entire yield curve. After the initial negative market reaction to the "Brexit" vote, markets have reassessed the implications surrounding the

United Kingdom's decision to leave the European Union. We're not sure if this reversal is temporary or not? While the vote does create uncertainties about the economic prospects for Great Britain, its full impact will not be truly felt until it comes closer to implementation. The biggest uncertainty initially was really about the "contagion effect" on the rest of the European Union. The fear was that other nations would consider breaking away from the Union and that could lead to instability of the common currency and global markets. While that scenario is highly unlikely, it is still a concern that could reappear in the future as more and more member nations question the policies that threaten each nation's sovereignty.

The market's reactions to "Brexit" are only partly attributable to this past quarter's reversal in the direction of interest rates here in the U.S. where GDP (Gross Domestic Product) has improved slightly over the past quarter. However, rate of growth is terribly anemic when compared to other economic cycles. Just as a point of reference the average GDP annualized rate of growth for the 30 year period from June 1988 to June 2008 (just prior to the financial market upheaval) was 3.0%. However, since then, our economy has only grown an average of 1.3% annualized. It is no

wonder that this economic recovery does not seem like a recovery at all. Personal consumption over the quarter remained fairly steady at just above 4%. In a consumer driven economy such as ours, this has become an important component of economic growth. Over the same 30 year period (June 1988 to June 2008), the average rate of personal consumption measured 2.8% and since June 2008 we have still only averaged 1.6%. So, while consumption has improved, it has not yet translated into robust economic growth as measured by GDP. The lackluster growth is primarily attributable to negative rates of private capital investment. Over the last year capital investment has decreased by 2.1%. Interest rates, while having modestly increased over the quarter, are still quite low. Actual growth rates (and expected growth) for our economy have been quite low and interest rates will continue to reflect those expectations.

Measurements of inflation have also been relatively tame over the last quarter. While there has been a modest increase in annualized rates of inflation, there could be the potential for more inflationary pressure as the price of oil stabilizes, or if the price were to begin pushing higher as oil producers attempt to reduce supply. While the

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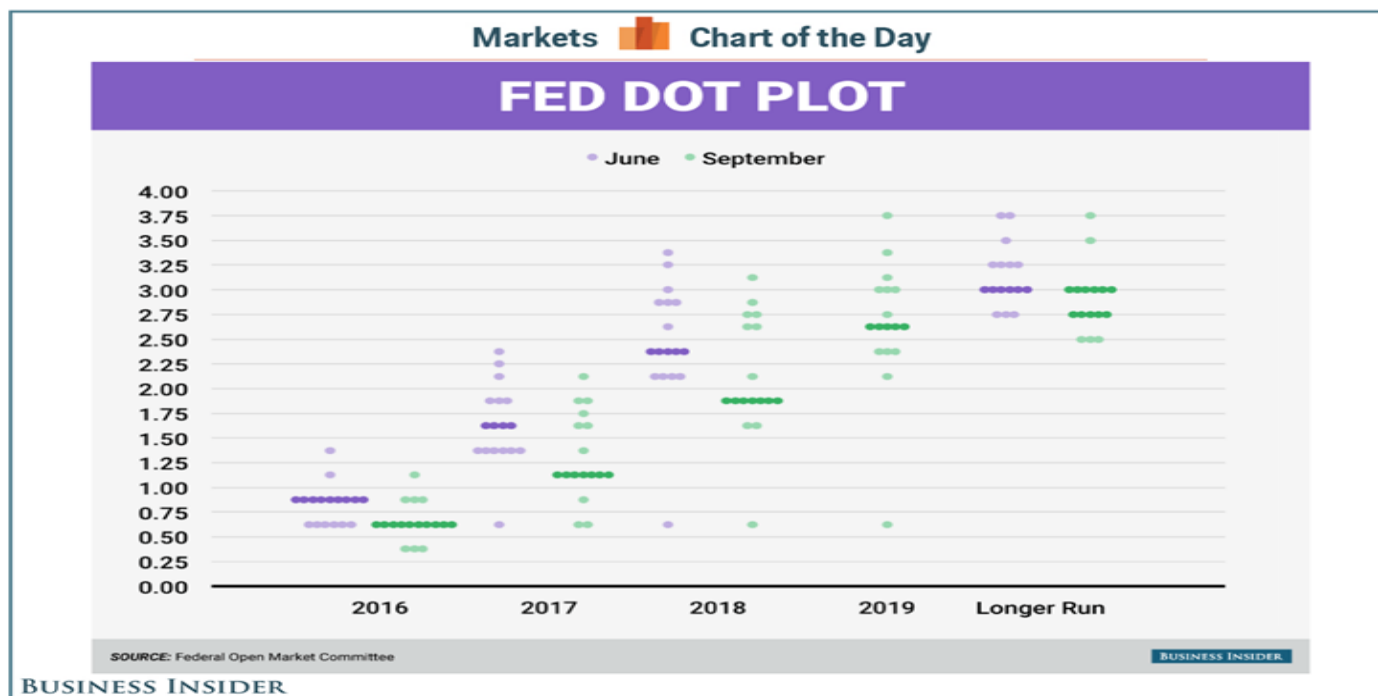
core CPI (ex food and energy) is above the 2% target that the Federal Reserve maintains as an average inflation goal, the PCE core measurement is still below that target. Some of the modest increase in interest rates over the quarter can be attributable to a slightly higher trend to measured inflation. Inflation expectations as measured by the difference in Treasury Inflation Protected securities (TIPS) and

nominal U.S. Treasury notes have also shown a modest increase over the quarter. The implication for the 5 year notes (TIPS vs Non TIPS) at the end of the quarter is approximately 1.51% compared to 1.41% at the end of June, an increase of 0.1%. For the 10 year notes, the expectations went from 1.43% to 1.60%.

The Federal Reserve Monetary Policy

Over the past quarter the FOMC (Federal Open Market Committee) has met twice, resulting in no change to current monetary policy for the Fed Funds overnight lending rate. The current target rate remains between 0.25% and 0.5%. Since the last change to policy in December 2015, the markets have been keenly attentive to the future path of the Fed Funds rate. Perhaps

one of the best indicators of expectations for future monetary policy is the committee members' own forecast for said rate. The now well known "dot plot" has become the market's favorite gauge to gain insight into the committee members thinking on economic growth and interest rates. While we don't believe that the dot



plot is a precise tool in anticipating the exact timing of changes in monetary policy, we do believe that the trend in the dot plot is indeed important.

The dot plot chart above is a comparison of each committee member's expectation for the appropriate Fed Funds rate at the end

of each respective year. The darker dots represent the median value of those forecasts. The most interesting observation that one can deduce from the chart is that the committee members' forecasts of the appropriate Fed Funds rate are significantly lower at the September meeting than they were in June. At

June's meeting, the dots indicated a fairly benign path for rates in the future. The median FOMC member expected rates between 0.75% and 1% by the end of 2016, suggesting two more rate hikes this year, and then rates eventually rising to around 3% in the longer term. The September plot is even more benign. The median

FOMC member forecasts rates between 0.5% and 0.75% at the end of 2016, which would imply only one more increase in 2016. In the longer term, Fed members see rates around 2.75% or 3%, which is about 0.25% lower than June's forecast. More importantly, the median dots suggest a slower pace of rising



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“Covered calls are a nice way to stay invested in equities but to take a more cautious approach by focusing on income and downside risk management.”

A Quest for Yield

An Unprecedented Low Yield Environment

Today's low yield environment has made it incredibly hard to find reliable sources of income without sacrificing quality. Treasury rates have been on a downward trend for 33 years, which has fueled an impressive bull market for bonds. Although the Fed seems committed to its low rate policy in the near term, most economists believe current levels are unsustainable over the long run. This certainly seems true based on the chart to the right. Of course, an increase in interest rates will almost certainly increase the volatility of bond portfolios and cut into investment returns. Diversifying risks will be more important than ever.

Balancing Risks & Returns

Low yielding investment grade bonds have pushed income-seeking investors out the risk curve in search of attractive yields. They inevitably end up in either high yield (junk) bonds with significant credit risk or in alternative income categories

like REITs and MLPs, which carry full equity market exposure as well as interest rate exposure.

More and more investors are considering a high quality covered call portfolio in order to diversify their risks. Covered call strategies can offer investors income of 6-8% without taking significant credit risk (for example, the average credit rating of our covered call portfolio holding is A, compared to single B for most high yield bond funds). And of course, a covered call portfolio can carry less market risk than long-only stocks. This balanced combination of income and price appreciation is shown below, compared to the other major asset classes.

Over the last decade, as investors have sought opportunities to earn both consistent returns and income, covered calls have gained in popularity. Institutional investors and investment advisors alike are embracing the strategy as part of a diversified equity allocation. However, as the market becomes more familiar with covered call strategies, inves-

tors continue to gain an understanding of the nuances between approaches.

History of Covered Calls

Over 30 years ago the Chicago Board of Options Exchange (CBOE) and Standard & Poor's (S&P) created the standard for covered call benchmarks known as the CBOE S&P 500 Buy-Write Index (BXI). The BXI Index is designed to track the performance of a hypothetical buy-write strategy on the S&P 500 Index (for more info, see www.cboe.com/micro/bxi/introduction.aspx). Several high-profile studies have helped to bring covered calls to the forefront of equity allocation discussions as well.

The CBOE website references three studies in particular from the past 10 years that look at the risk-return dynamics of covered calls. All three firms concluded that over the time period studied, a passive buy-write strategy had a superior risk-return profile over long-only equities, achieving similar long term returns at significantly lower risk. And while a passive buy-write strategy (index replication) indeed has solid relative characteristics, an active buy-write strategy has the potential to further improve the outcome. Yet the active application of buy-write strategies can differ significantly in both process and outcome. In short, not all covered call strategies are created equal.

The Nuance of Covered Call Investing



A Quest for Yield



Covered Calls represented by the CBOE Buy-Write Index (BXM), High Yield Bonds represented by the IBOXX HY Index, Investment grade bond represented by Barclays U.S. Aggregate Bond Index, Long only stocks represented by the S&P 500 index, Hedge Fund index represented by the Credit Suisse Hedge Fund Index, MLP performance represented by Alerian MLP Index, REITs represented by the DJ US Real Estate Index. Source: Bloomberg. Each of these asset classes has its own set of investment characteristics and risks and investors should consider these risks carefully prior to making any investments. Past performance is no guarantee of future performance. The referenced indices are shown for general market comparisons and are not meant to represent the Fund. Indexes are not available for direct investment.

Most simply defined, a covered call position is the ownership of equity shares of a corporation whereby the owner then offers to sell his shares to another investor at a higher price in the future. For this offer, the owner receives income from the call option buyer. Therefore, a covered call strategy is inherently an equity strategy (but with an advantaged risk profile) which by default should require a diligent investment manager to be proficient in fundamental analysis. It is for this reason that the designed investment process around disciplined cash flow fundamentals. The first priority is to construct a high quality equity portfolio. The managers then turn to the option market as the *second* step, in order to add incremental yield and potentially add downside protection.

However, most covered call strategies are designed to primarily focus on the collection of call option premiums and to derive their return solely from the implied volatility embedded in the option price. These types of strategies generally include theta capture (time decay capture), over-writing

(writing more calls than underlying shares, beta-seeking (find high beta stocks), and leveraged players (the use of margin). As a result, the manager's core competency in these strategies tends to be in the modeling of implied volatility versus actual volatility, not in whole or in part in fundamental equity analysis. The inherent challenge we see in these strategies is that they seek to profit from a portfolio constructed on option-based inputs and generally fall apart in periods of distress and market declines. Index replication studies show the value of including covered calls in an equity allocation. Active managers who focus on a strong fundamental process can extend that value further and even improve it. But beware the option-based volatility strategies calling themselves covered calls: They might be better suited to limited partnerships and option derivatives.

Covered call investors typically fall into two groups:

Equity investors: Because equities are the highest returning asset class, most investors see them as an

important allocation. However, with the market at new highs, the outlook is more uncertain and volatile than ever. Covered calls are a nice way to stay invested in equities but to take a more cautious approach by focusing on income and downside risk management. The call premiums received in a covered call strategy supplement the dividend income, and increase total portfolio yield dramatically. These strategies are a good way to meet long term goals and sleep a little better at night during market pullbacks.

Fixed income investors: Today's low yield environment has made it incredibly hard to find reliable sources of income without sacrificing quality. And on top of that, interest rates stand poised to rise over the near to intermediate term, which will almost certainly increase the volatility and cut into the returns of this asset class (as we saw in 2013). With treasury yields at all-time lows and investment grade corporate bonds yielding 2-4% compared to their historic range of 4-7%, income-seeking investors are having to move out the risk curve to find attractive yields. They inevitably end up in either high yield (junk) bonds with significant credit risk or in al-

ternative income categories like REITs and MLPs, which carry fully equity market exposure as well as interest rate exposure. A high quality covered call portfolio can offer investors income of 8-10% while also significantly reducing market exposure. Combining one of these strategies with a high quality, short duration bond ladder (3-4 year duration, for example) can further reduce volatility and provide a weighted average portfolio yield of approximately 5-7%.

Covered Calls in Summary

Wherever you stand as an investor, the consideration for a covered call strategy is both widely researched and supported. The current market environment has brought such strategies ever more into the spotlight as a potential solution for income seeking, risk conscious investors. As the saying goes, "The pessimist complains about the wind; the optimist expects it to change; the realist adjusts . . ."

A “macro event” is much more to be the culprit to cause any significant downside event rather than it being the result of the new administration’s policy “



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go to the polls. While Federal Reserve Chair Yellen and the current administration generally paints a relatively positive view of the economy, the reality is that some economic trends are up, and others are down.

For several years running, most pundits have expected a rising interest rate that has not really materialized since the economy has not exhibited the robustness to limit risks associated with a rate increase. Over this time period, we have seen inflation under control and dramatic increases in employment. However, we have also experienced relatively weak consumer demand and a significant decline in labor force participation. We have seen a long, if unsteady bull market for US equities oddly coupled with fairly regular restatements of previous quarterly GDP growth data. Bottom line: we have been living through one of the weakest economic recoveries in history.

What to think?

Well, from the FOMC members, it appears to be more of the same messaging as we have had in the past.

Federal Reserve Chair Janet Yellen recently testified to Congress that “U.S. economic growth appears

to have picked up from its subdued pace earlier this year. After rising at an annual rate of just 1 percent in the first half of this year, inflation-adjusted gross domestic product is estimated to have increased nearly 3 percent in the third quarter.”

However, inventories are historically high, based on business inventory to sales ratios; high enough to be in recession territory.

The FMOC further views that “consumer spending has continued to post moderate gains, supported by solid growth in real disposable income, upbeat consumer confidence, low borrowing rates, and the ongoing effects of earlier increases in household wealth.”

As one dissects this optimistic trend we see a focus on real income instead of real median income. Many studies have already shown, that since 2000, the increases in real income have been limited to the upper end of the economy. The chart on page 7 from *Sentier Research*, shows a very different and somewhat troubling story that is t odds with the conclusions one might draw for the FMOC statement.

At the time of this writing, US GDP forecasts are little

changed since earlier this year with projected growth at 2.2% in 2017 and 2% in 2018, as reported by a Wall Street Journal survey in early October. Participating economists further predicted that the probability of a US economic recession is almost 60%, within the next 4 years. They also see a 20% chance of a recession within the next year, and see those odds rising as the current expansion, which began in June 2009 and has now continued for 88 months, gets longer. Risks specific to this near term downturn probability are weighted heavily toward the possibility of a global economic slowdown, an event that would largely be beyond the next president’s control.

Notwithstanding the upbeat expectations coming from the current administration or the FED counterweighted by the much more dire prediction of economists, one thing is for certain: the new president will face one of two scenarios: a recession while in office, or the U.S. will post its longest economic expansion in its history.

Our slow and uneven expansion from the great recession could die of ‘old age’ but the probability is much greater that a shock will hit the U.S. economy

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Figure 1.
Median Household Income Index (HII) and Unemployment Rate by Month: January 2000 to September 2016



further out in the horizon. A “macro event” is much more to be the culprit to cause any

significant downside event rather than it being the result of the new administration’s policy. An

escalation of a regional conflict, a collapse of the major markets,

trade wars, or a policy mistake from the Federal Reserve are more likely candidates to knock the economy off course.

Once policies of the new president begin to take shape, sentiment will likely change, for better or worse, and much of the future data along with it. Emotion often trumps hard data as a determinant of our economy’s and market’s future...no pun intended! Good luck Mr. or Mrs. President!

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rates than the June projections. Lower for longer!!!!

Equity

In election years where non-incumbent candidates are running for office, historically, the S&P 500 index has lost 4% on average since 1928, according to Bloomberg, far worse than election years in general. We recommend the faint of heart look ahead to 2017 which, again from a historical perspective, might experience a decent market rally from the relief of political uncertainty. However, the takeaway

in all of this should be that causality is near-impossible to assign, given all the other confounding factors affecting the markets.

A Trump win would probably surprise the markets, since they may be pricing in what is believed to be the more likely outcome based on polling and the large number of undecideds that Trump would have to win to take office at this point. There is also an added element of mystery with Donald Trump’s candidacy, given that

from a market perspective that prefers predictability, Trump’s lack of precedent in politics makes it difficult for investors to glean much of what the future might entail.

Around the World

Some recent data suggests that Britain has seen some strengthening since Brexit with regard to manufacturing PMI (a commonly used indicator of economic health) and consensus estimates for real GDP growth for the year. The

world is likely to keep its guard up while the next couple of years of Brexit negotiations take place and the impacts on nearby governments and economies are sorted out—after all, the true test comes when the theoretical exit becomes a reality.

As further shake up to the geopolitical scene (and therefore, the markets), the next year will see national elections in Italy, France, and Germany. Italians face a constitutional referen-

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dum this December, while France's presidential election begins in April of 2017, and Germany's parliamentary election will be in late summer or early fall of 2017.

Central banks and policy-makers around the globe (Europe, China, India) have continued to stimulate their economies with easing, to which we've grown quite accustomed over the last several quarters. This may help, in turn, to stimulate global growth, especially if it's in conjunction with slightly higher oil prices as we've been seeing lately, the aforementioned resilience/stabilization in the euro zone, and acceleration in China's economy where things have been looking brighter for the struggling region. The

country's manufacturing PMI has improved along with nominal GDP growth

The Name of the Game

This quarter has given us more of the same: investors seeking income in equities as an alternative to the traditional bond route that hasn't been able to provide great yields, and it therefore hasn't been the road less traveled in a long time. Equity income stocks are still outperforming more growth oriented ones, and it is dividends making such equities attractive to investors. S&P 500 index dividends increased 5.2% year-over-year in the third quarter, putting the yield at about 2.1% (about .5% above 10-year Treasury note yields, which is a pretty large spread, histor-

ically). While we still think there are fairly valued stocks and plenty of opportunities for making money, many stocks are expensive with less appealing valuations. Therefore, earnings continue to be the name of the game this year, where the stock market is largely dependent on company earnings for appreciation and growth.



Editor's note: Market Commentaries were written prior to the US presidential election and represent past quarterly results and any forward looking views as of September 30 2016. Accordingly, the ramifications and market impact of the election outcome, along with any other recent events, are not incorporated and will be addressed in the CapVisor Winter edition.



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